

on first by home video games and then by the Cabbage Patch enthusiasm, eventually it dropped from a high of \$65 in 1983 to a recent \$1¾ as the company went into [Chapter 11](#), filing for bankruptcy in 1988.

Finding the promising company is only the first step. The next step is doing the research. The research is what helps you to sort out Toys “R” Us from Coleco, Apple Computer from Televideo, or Piedmont Airlines from People Express. Now that I mention it, I wish I’d done more checking into what was happening at People Express. Maybe then I wouldn’t have bought that one, either.

All my failures notwithstanding, during the twelve years I’ve managed Fidelity Magellan, it has risen over twentyfold per share—partly thanks to some of the little-known and out-of-favor stocks I’ve been able to discover and then research on my own. I’m confident that any investor can benefit from the same tactics. It doesn’t take much to outsmart the smart money, which, as I’ve said, isn’t always very smart.

This book is divided into three sections. The first, Preparing to Invest ([Chapters 1](#) through [5](#)), deals with how to assess yourself as a stockpicker, how to size up the competition (portfolio managers, institutional investors, and other Wall Street experts), how to evaluate whether stocks are riskier than bonds, how to examine your financial needs, and how to develop a successful stockpicking routine. The second, Picking Winners ([Chapters 6](#) through [15](#)), deals with how to find the most promising opportunities, what to look for in a company and what to avoid, how to use brokers, annual reports, and other resources to best advantage, and what to make of the various numbers (p/e ratio, book value, cash flow) that are often mentioned in technical evaluations of stocks. The third, The Long-term View ([Chapters 16](#) through [20](#)), deals with how to design a portfolio, how to keep tabs on companies in which you’ve taken an interest, when to buy and when to sell, the follies of options and futures, and some general observations about the health of Wall Street, American enterprise, and the stock market—things I’ve noticed in twenty-odd years of investing.